graded_bets_legacy

equity strategy | family: equity-baseline | status: reference | derived from `graded_bets`

What this strategy does

Bet on every stock; the more extreme the surprise, the bigger the bet -- ORIGINAL leverage cap (new positions only, open book ignored)

Why it should work. Same drift as Extreme Picks but harvested across the whole cross-section for lower variance.

Design notes (from the strategy's source file).

Graded Bets -- every stock gets a bet, bigger the further its surprise is from average.

Trades every decile with weight proportional to SUE-rank distance from the median: broader diversification than the extreme-decile book, at the price of ~4x more positions (which saturates the liquidity and leverage caps and dilutes the high-conviction names).

parameter	value
base_unit_fraction	0.002
max_gross_leverage	1.5
liquidity_cap_frac	0.05
return_basis	mktadj
cap_mode	proportional
exposure_cap	entry_cohort
beta_overlay	0.0

Performance

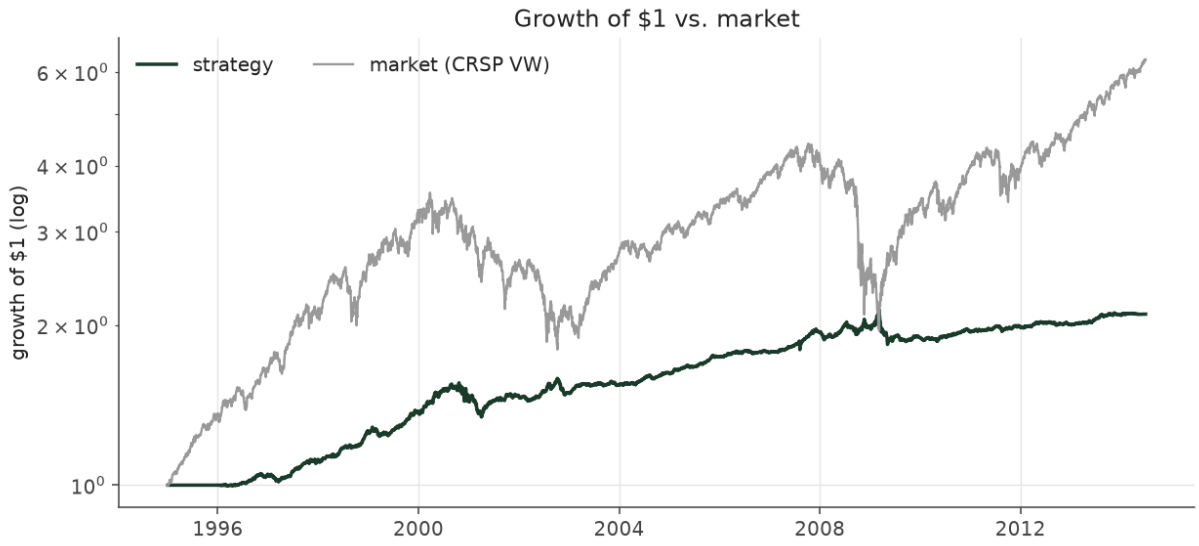
metric	graded bets legacy	market (CRSP VW)
Annualized return	3.88%	9.94%
Annualized volatility	3.86%	19.35%
Sharpe (NAV-pct)	1.01	0.59
Sortino	1.42	
Max drawdown	-14.0%	-55.5%
Calmar	0.28	
Final NAV ($10M start)	$20,996,808	
Worst day	-2.34%	
% positive days	52.4%	
Sharpe 1996-2001	1.39	
Sharpe 2002-2007	1.55	
Sharpe 2008-2013	0.32	

Correlation of daily returns with the market: **0.01**.

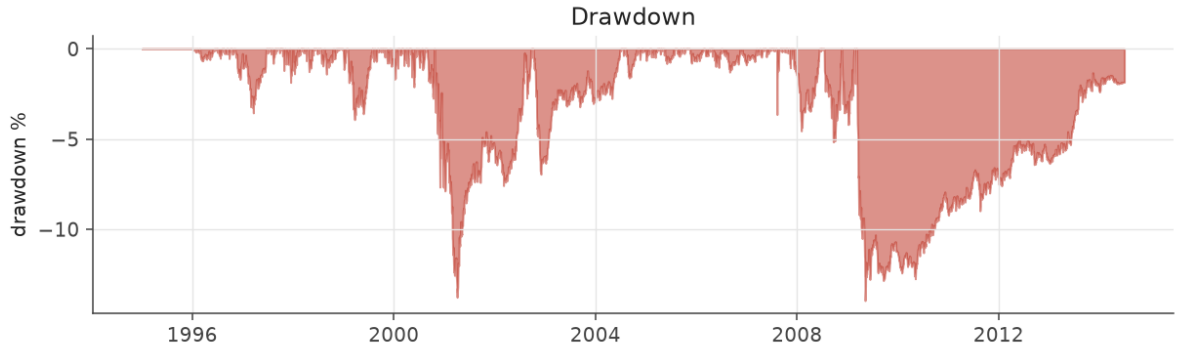
• best Sharpe among equity: `calm_rank_tilt` (1.47); this one: 1.01

• best return among equity: `market_boost_max` (0.116); this one: 0.0388

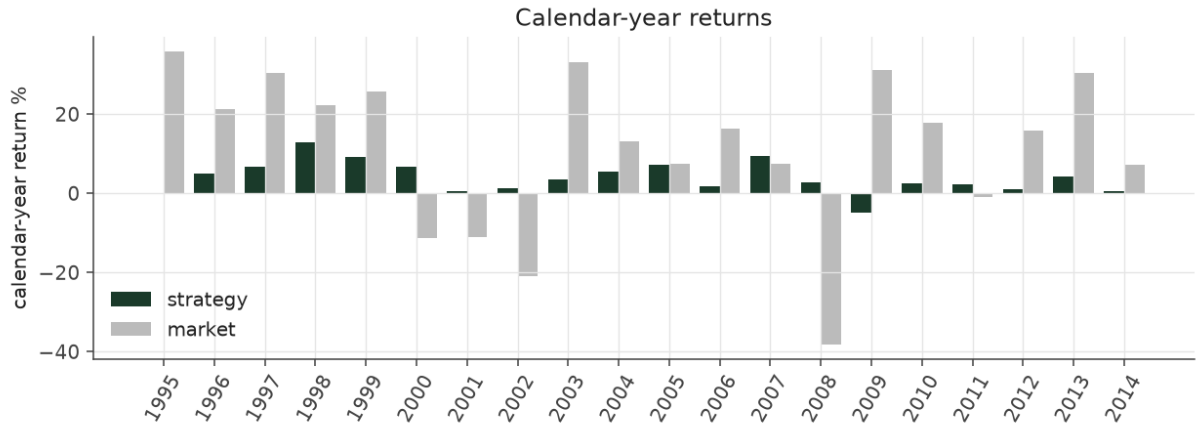
• best Calmar among equity: `calm_rank_tilt` (0.442); this one: 0.278



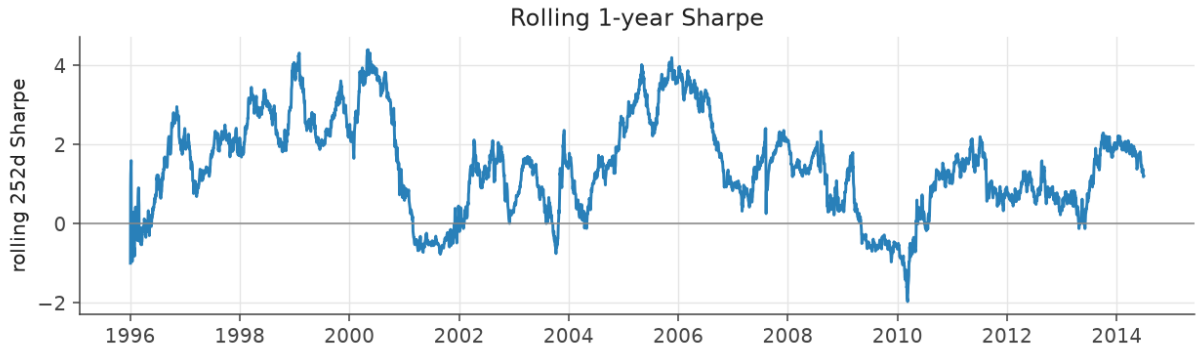
NAV (log scale)



Drawdown from running peak

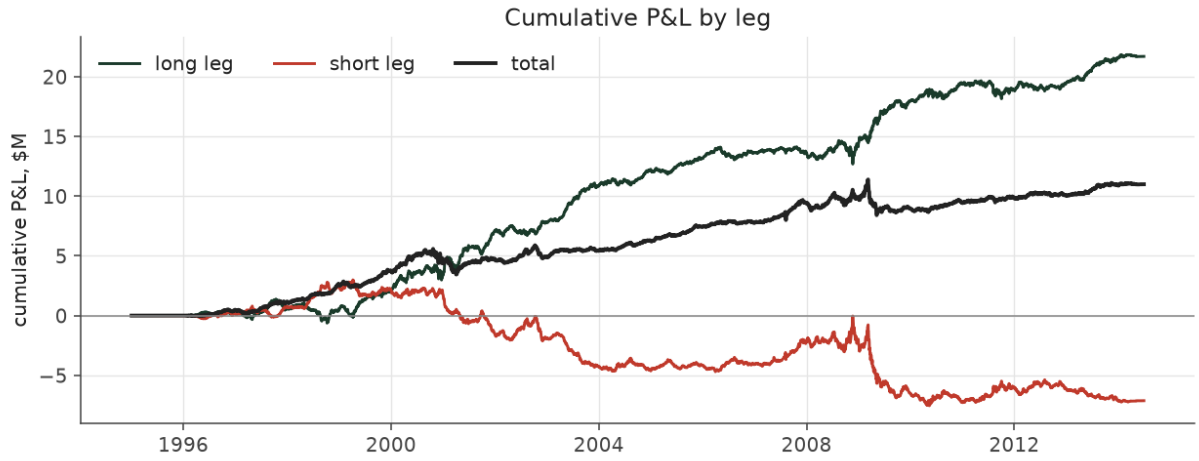


Calendar-year returns



Is the edge stable, or concentrated in a few years?

Where the return comes from



Long leg vs. short leg vs. total

	long leg	short leg
P&L ($M, before costs)	21.70	-7.13
P&L after costs ($M)	20.00	-9.00
of which common (average-event) component ($M)	14.23	-13.67
of which excess / PEAD component ($M)	7.27	6.71
excess minus costs ($M)	5.58	4.83
gross return per $ traded (bp)	248.49	-83.56
positions in the money (hit rate)	0.55	0.48
stand-alone Sharpe (leg only)	1.19	-0.33

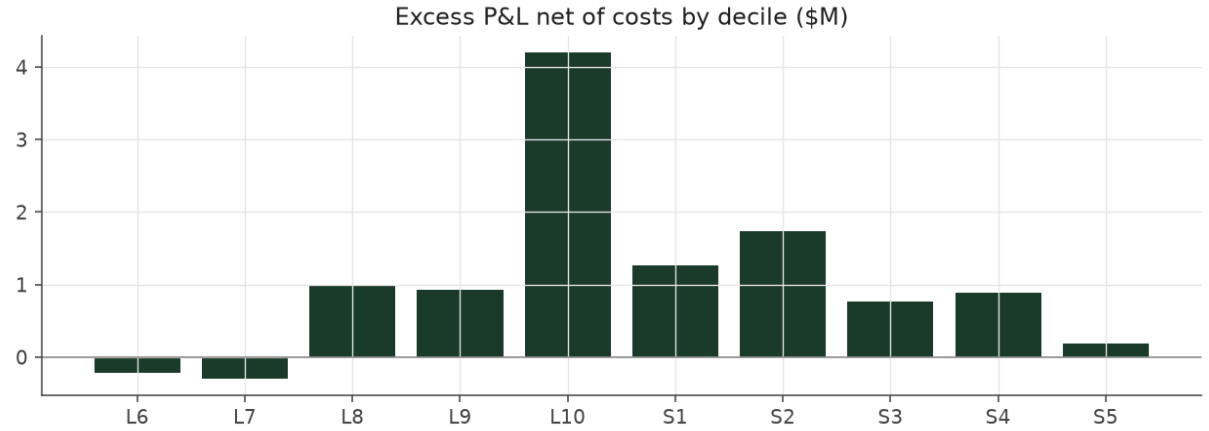
Daily P&L correlation between the two legs: **-0.79**.

• **The short leg loses money in absolute terms** (-7.1M before costs) while the long leg earns +21.7M. That is mostly a benchmark effect, not a signal failure: the average earnings-event stock beat the cap-weighted market during its holding window, which flatters the long leg and hurts the short leg by 14.2M / 13.7M. Stripping that common component, the surprise signal itself earned +7.3M on the long side and +6.7M on the short side.

• The two legs' daily P&L are -0.79 correlated: the short leg is the hedge that makes the long leg's variance disappear (stand-alone leg Sharpe 1.19 long / -0.33 short vs 1.01 combined).

By decile and side (signal-driven part only)

leg	decile	positions	notional M	net pnl M	excess M	cost M	alpha net M	alpha share	alpha bp per $
long	6	18,256	41.69	0.34	-0.14	0.09	-0.22	-2.2%	-53.75
long	7	17,431	104.34	1.62	-0.10	0.20	-0.30	-2.9%	-28.97
long	8	16,588	169.97	3.99	1.32	0.33	0.98	9.4%	57.88
long	9	17,747	248.03	4.65	1.39	0.47	0.92	8.8%	37.08
long	10	17,174	309.23	9.39	4.80	0.60	4.20	40.3%	135.80
short	1	17,169	295.94	-3.37	1.95	0.68	1.27	12.2%	42.89
short	2	17,281	238.00	-2.19	2.25	0.52	1.73	16.6%	72.66
short	3	15,970	163.81	-1.95	1.12	0.36	0.76	7.3%	46.34
short	4	21,469	125.93	-1.12	1.14	0.26	0.88	8.4%	69.86
short	5	14,319	29.09	-0.37	0.25	0.06	0.19	1.8%	65.99



D10 and the short deciles carry the alpha; the middle of each leg earns little

By size quintile (1 = smallest)

size quintile	positions	notional M	net pnl M	excess M	cost M	alpha net M	alpha share	alpha bp per $
1	19,578	167.94	1.68	3.16	0.68	2.48	23.8%	147.53
2	32,212	338.94	3.21	4.51	0.98	3.53	33.9%	104.14
3	36,915	385.67	3.11	3.61	0.81	2.80	26.9%	72.66
4	40,327	411.63	1.71	1.75	0.64	1.11	10.7%	27.04
5	44,372	421.85	1.28	0.95	0.47	0.48	4.6%	11.46

By liquidity quintile (1 = least liquid)

liquidity quintile	positions	notional M	net pnl M	excess M	cost M	alpha net M	alpha share	alpha bp per $
1	19,171	149.55	2.93	4.06	0.75	3.32	31.8%	221.69
2	32,362	347.80	2.17	3.96	1.04	2.92	28.0%	83.97

3	37,415	391.66	2.82	3.69	0.78	2.90	27.9%	74.10
4	40,575	413.50	1.82	1.81	0.58	1.24	11.9%	29.89
5	43,876	423.44	1.27	0.46	0.42	0.04	0.3%	0.83

By holding-window length

hold bucket	positions	notional M	net pnl M	excess M	cost M	alpha net M	alpha share	alpha bp per $
<=40d	77,748	665.87	-0.91	1.80	1.22	0.58	5.6%	8.69
41-60d	33,200	382.82	2.00	2.13	0.81	1.32	12.7%	34.47
61-90d	48,100	512.60	3.48	4.24	1.11	3.12	30.0%	60.97
>90d	14,356	164.75	6.44	5.82	0.44	5.38	51.7%	326.71

By era

era	positions	notional M	net pnl M	excess M	cost M	alpha net M	alpha share	alpha bp per $
1996-01	50,364	426.09	4.45	5.12	0.85	4.26	40.9%	100.08
2002-07	58,164	591.79	4.61	5.74	1.19	4.55	43.7%	76.96
2008-13	64,876	708.16	1.94	3.13	1.54	1.59	15.2%	22.42

By FF12 sector

ff12 sector	positions	notional M	net pnl M	excess M	cost M	alpha net M	alpha share	alpha bp per $
BusEq	32,133	320.84	2.65	1.96	0.66	1.30	12.5%	40.49
Chems	3,926	37.70	0.07	0.17	0.07	0.10	1.0%	26.72
Durbl	4,066	40.94	0.35	0.53	0.09	0.44	4.2%	107.21
Enrgy	9,095	85.98	0.87	1.08	0.16	0.92	8.8%	106.99
Hlth	17,555	165.49	1.56	1.49	0.38	1.11	10.7%	67.38
Manuf	17,051	173.75	0.65	1.25	0.35	0.90	8.7%	51.90
Money	25,815	263.22	1.47	2.75	0.54	2.21	21.2%	83.97
NoDur	7,510	73.82	0.38	0.43	0.14	0.28	2.7%	38.53
Other	26,581	265.30	1.49	2.19	0.60	1.59	15.3%	60.07
Shops	17,607	175.59	1.48	1.72	0.36	1.36	13.1%	77.52
Telcm	5,624	56.27	-0.05	0.19	0.11	0.08	0.8%	14.21
Utils	6,441	67.13	0.08	0.22	0.12	0.10	1.0%	15.03

By idiosyncratic-volatility tercile

vol tercile	positions	notional M	net pnl M	excess M	cost M	alpha net M	alpha share	alpha bp per $
high vol	57,238	573.05	1.82	2.59	1.06	1.52	14.6%	26.57
low vol	58,337	579.75	4.55	5.97	1.32	4.64	44.6%	80.05
mid vol	55,592	550.31	4.42	5.25	1.14	4.11	39.5%	74.75

Short-borrow sensitivity (not modeled in the backtest)

borrow rate	fee M	ann. return	drag
0.0%	0.0	3.88%	-0.00%
0.5%	0.9	3.65%	0.23%
1.0%	1.8	3.41%	0.47%
2.0%	3.5	2.90%	0.98%
5.0%	8.8	1.01%	2.87%

The engine charges the same transaction cost on shorts as on longs and no stock-borrow fee. The short leg is concentrated in small, illiquid names, where borrow is scarce and expensive -- read the table as a floor on the cost of running the short leg.